

Redlining, Blockbusting, and Steering

There's a reason these three terms go together, and it goes back to the 1930s-so cue the record player, slap on some Billie Holiday, and let's dive in.

Redlining

In 1934, when the **Federal Housing Administration (FHA)** was created, it adopted the practice of **redlining**, and, utilizing a large map, crossed off cities and neighborhoods it considered "risky." The FHA wouldn't insure loans for properties in redlined areas. The heavy-handed "sorting" was based primarily on demographics, not on creditworthiness. Predominantly white neighborhoods were considered least risky, and neighborhoods containing a large percentage of African Americans were deemed the highest risk.

Mortgages have a primary and a secondary market. Lenders make loans in the primary market but depend on the secondary market to buy these loans in order to provide primary market lenders with more cash to fund more loans. If the FHA wouldn't insure these loans, lenders couldn't sell them on the secondary market and couldn't offer mortgages on properties in redlined areas without putting their own businesses at risk. This meant that property in redlined areas wouldn't sell easily, lowering property values in those neighborhoods.

When redlining was common practice, property owners in predominantly white neighborhoods would-if enough minorities moved into the area-find their property values plummeting as soon as their neighborhood got a red line on the map. Thus, a fundamentally racist practice caused vicious cycles of owners moving out of areas that minorities were moving into (aka blockbusting) and avoiding already-redlined areas.

Blockbusting

Because of potential redlining, **blockbusting** became a profitable ploy for real estate agents. Agents approached owners as soon as a demographic shift started to occur and convinced them that if they didn't sell now, they would never be able to. Sometimes they outright lied and convinced people that property values were declining due to minorities moving in, even when it wasn't true.

As whites fled from inner cities to suburbs and African Americans were prohibited from obtaining mortgages in those suburbs, cities became increasingly segregated, because it was the only way to avoid losing property value in predominantly white areas. The FHA officially supported keeping "incompatible" racial groups out of the newly developed white suburbs.

Steering

Knowing the demographic make-up of all of the neighborhoods in the area, real estate agents engaged in **steering** to encourage whites to live in the "white areas" and all minorities to minority-prevalent areas.

In 1968, the **Fair Housing Act** -which banned blockbusting, steering, and redlining-provided the first step in reversing these negative practices. The mentality, however, was firmly ingrained in the minds of homeowners, lenders, and real estate professionals. All three violations continue to happen today and are actively being addressed by human rights advocates.

If you're interested in the topic, check out the one-hour episode, "House Rules," of This American Life. <https://www.thisamericanlife.org/512/house-rules>